

An Act

ENROLLED HOUSE
BILL NO. 3944

By: Kane of the House

and

Haste of the Senate

An Act relating to public finance; amending 62 O.S. 2021, Sections 34.3.1, 34.38, 34.40, 34.42, as last amended by Section 3, Chapter 199, O.S.L. 2025, 34.43, 34.49, 34.52, 34.80, and 45.10 (62 O.S. Supp. 2025, Section 34.42), which relate to the reporting and procedural requirements of the State Finance Act; eliminating obsolete references; updating references; modifying elements of and submission date for certain budget documents; expanding limitations for expending lump sum appropriations; limiting allotments and reporting to fiscal years; permitting designation of allotment request officers; simplifying information technology budget reporting requirements; modifying procedures related to mid-year budget transfer requests; clarifying deposit of cancelled warrants related to federal funds; simplifying certain metrics reporting requirements; amending 62 O.S. 2021, Section 34.6, as amended by Section 2, Chapter 14, 2nd Extraordinary Session, O.S.L. 2022, Section 34.36, as amended by Section 2, Chapter 199, O.S.L. 2025, Section 34.36.1, 34.56, 34.95, 34.401, and 45.5 (62 O.S. Supp. 2025, Sections 34.6, 34.36, 34.36.1, 34.56, 34.95, 34.401, and 45.5), which relate to the powers and duties of the Director of Management and Enterprise Services and other officials with regard to the State Finance Act; eliminating certain reporting and certification requirements; updating references to legislative entities; vesting surviving authority of the Special Agency Account Board; authorizing the utilization of certain information; limiting certain procedural requirement to certain period; authorizing certain assistance and training of agencies; and providing an effective date.

SUBJECT: Public finance

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. AMENDATORY 62 O.S. 2021, Section 34.3.1, is amended to read as follows:

Section 34.3.1. A. The Department of Central Services, Office of Personnel Management, and Oklahoma State Employees Benefits Council ~~and the State and Education Employees Group Insurance Board~~ are consolidated into the Office of Management and Enterprise Services. The Director of the Office of Management and Enterprise Services shall assume all executive-level responsibilities for each agency and shall function as and possess the powers of the agency director for each consolidated agency as enumerated by existing statute. For the purposes of this section the term "consolidated agencies" shall mean the Department of Central Services, Office of Personnel Management, and Oklahoma State Employees Benefits Council ~~and the State and Education Employees Group Insurance Board~~. Any funds appropriated to, in the possession of or allocated to any of the consolidated agencies shall be deemed to be funds of the Office of Management and Enterprise Services.

B. Upon request of the Director of the Office of Management and Enterprise Services, the personnel of the consolidated agencies shall deliver to the Office of Management and Enterprise Services all books, papers, records and property of the consolidated agencies.

C. All functions, powers, duties and obligations previously assigned to each of the consolidated agencies are hereby transferred to the Office of Management and Enterprise Services.

D. All rules, regulations, acts, orders, determinations and decisions of the consolidated agencies pertaining to the functions and powers herein transferred and assigned to the Office of Management and Enterprise Services, in force at the time of such transfer, assignment, assumption or devolution shall continue in force and effect as rules, regulations, acts, orders, determinations and decisions of the consolidated agencies until duly modified or abrogated by the appropriate body or until otherwise provided by law.

SECTION 2. AMENDATORY 62 O.S. 2021, Section 34.6, as amended by Section 2, Chapter 14, 2nd Extraordinary Session, O.S.L. 2022 (62 O.S. Supp. 2025, Section 34.6), is amended to read as follows:

Section 34.6. A. The Director of the Office of Management and Enterprise Services shall have the power and duty under the direction of the Governor to:

1. Prepare the budget document and assist in the drafting of legislation to make it effective;

2. Make field surveys and studies of governmental agencies, looking toward economy and greater efficiency;

3. Make allotments to control expenditures;

4. Authorize transfers of appropriation authorized by law;

5. Study accounting and other reports rendered by the Division of Central Accounting and Reporting;

6. Enter into agreements with the United States Secretary of the Treasury for the purpose of implementing federal law;

7. Aid the Governor in the economical management of state affairs; and

8. Adopt such rules and regulations concerning the exercise of powers and duties as the Director shall deem appropriate, in accordance with the Administrative Procedures Act.

B. In addition to other duties, the Director of the Office of Management and Enterprise Services shall, upon request, advise and consult with members of the Legislature and legislative committees concerning revenue and expenditures of state agencies.

~~C. The Director of the Office of Management and Enterprise Services shall publish daily reports of all expenditures of funds from the Coronavirus Aid, Relief, and Economic Security (CARES) Act on the Oklahoma Checkbook page on the state website.~~

~~D.~~ The Director of the Office of Management and Enterprise Services shall report weekly on the status of all grant agreements, as provided for in Section ~~4~~ 255.1 of this ~~act~~ title.

~~E.~~ D. The Director of the Office of Management and Enterprise Services shall report quarterly to the chairs of the Joint Committee on Pandemic Relief Funding and make available to the public on the state's website, a quarterly report of all expenditures of federal funds drawn down from the American Rescue Plan Act 2021 (ARPA), Public Law 117-2.

~~F.~~ E. The Director of the Office of Management and Enterprise Services shall provide technical assistance to agencies seeking to comply with state law and federal guidelines as a recipient of federal funds. Technical assistance shall include, but not be limited to, procurement and competitive bidding requirements assistance, capital expenditure assistance, model templates, model agreements, grants management software or other advice, recommended reporting, and accounting of federal funds, to all state agencies who request technical assistance.

SECTION 3. AMENDATORY 62 O.S. 2021, Section 34.36, as amended by Section 2, Chapter 199, O.S.L. 2025 (62 O.S. Supp. 2025, Section 34.36), is amended to read as follows:

Section 34.36. A. On the first day of ~~October~~ November preceding each regular session of the Legislature, each state agency, including those created or established pursuant to constitutional provisions, shall report to the Director of the Office of Management and Enterprise Services and the ~~Chair and Vice Chair of the Legislative Oversight Committee on State Budget Performance~~ directors of the divisions in each body of the Legislature assigned oversight of state budget performance, an itemized request showing the amount needed for the ensuing fiscal year beginning with the first day of July.

B. The forms which must be used in making these reports shall be approved by the Director of the Office of Management and Enterprise Services and the ~~Legislative Oversight Committee on State Budget Performance~~ directors of the divisions in each body of the Legislature assigned oversight of state budget performance.

C. The forms shall be uniform, and shall clearly designate the information to be given.

D. The information provided shall include, but not be limited to:

1. A budget analysis of existing and proposed programs utilizing performance-informed budgeting techniques. Such analysis shall be included as a part of the estimate of funds needed;

2. A statement listing any other state, federal or local agencies which administer a similar or cooperating program and an outline of the interaction among such agencies;

3. A statement of the statutory authority for the missions and quantified objectives of each program;

4. A description of the groups of people served by each program in the agency;

5. A quantification of the need for the program;

6. A description of the tactics which are intended to accomplish each objective;

7. A list of quantifiable program outcomes which measure the efficiency and effectiveness of each program;

~~8. A ranking of these programs by priority;~~

~~9.~~ Actual program expenditures for the current fiscal year and prior fiscal years and the number of personnel required to accomplish each program;

~~10.~~ 9. Revenues expected to be generated by each program, if any; and

~~11.~~ 10. With respect to appropriated state agencies, a detailed listing of all employees and resources dedicated to the provision of financial services including but not limited to procurement, payroll, accounts receivable and accounts payable. The provisions of this paragraph shall not be applicable to the Oklahoma State Regents for Higher Education or to any institutions within The Oklahoma State System of Higher Education; ~~and~~

~~12. A certification that following the effective date of this act and prior to July 1, 2011, no expenditure shall have been made or funds encumbered for the purchase, lease, lease-purchase or rental of any computers, software, telecom, information technology hardware, firmware or information technology services, including~~

~~support services without the prior written approval of the State Comptroller or his or her designee.~~

E. These appropriated agencies shall make an itemized estimate of needs for the ensuing fiscal year and the following two (2) fiscal years and request for funds for the ensuing fiscal year and an estimate of the revenues from all sources to be received by the agency during the ensuing fiscal year and the following two (2) fiscal years.

F. The Director of the Office of Management and Enterprise Services shall submit to the Governor and the ~~Legislative Oversight Committee on State Budget Performance~~ directors of the divisions in each body of the Legislature assigned oversight of state budget performance, no later than the fifth day of ~~October~~ November a complete list of all spending agencies which have failed to submit budgets by ~~October~~ November 1.

~~G. The reports required by this section shall include an itemized listing of outstanding capital lease debt and estimated capital lease needs for the ensuing fiscal year and the following two (2) fiscal years, and shall be provided on forms prescribed by the Director of the Office of Management and Enterprise Services.~~

~~H. For the purposes of this section, "capital lease" means a lease-purchase agreement which provides an option for the State of Oklahoma or its agencies to purchase property, including personal and real property, which is the subject thereof and/or a lease agreement that provides an option for the State of Oklahoma or its agencies to lease such property, which is the subject thereof, at a nominal annual amount, after a period in which leased property is rented at fair market value.~~

~~I.~~ Not later than January 1, the Director of the Office of Management and Enterprise Services shall publish a shared services cost-performance assessment report documenting the amount of each state agency's cost for providing shared services. The lowest ranking state agencies shall enter into a contract with the Office of Management and Enterprise Services for the provision of shared financial services, provided that the Director of the Office of Management and Enterprise Services determines that implementation of such a contract would be feasible and documents that the contractual agreement will result in cost savings or efficiencies to the state. Contracts required by this subsection shall be entered into at the start of the next fiscal year. When a state agency is contracted

with the Office of Management and Enterprise Services for the provision of shared financial services, the agency may discontinue using shared services when documentation showing that the agency can provide the services at a lower cost to the state is provided to and approved by the Director of the Office of Management and Enterprise Services. As used in this subsection, "shared services" means process, resource utilization or action as defined by administrative rule. On a yearly basis the Director of the Office of Management and Enterprise Services shall compile and publish a report documenting the cost savings resulting from shared services contracts. The provisions of this subsection shall not be applicable to the Oklahoma State Regents for Higher Education or to any institutions within The Oklahoma State System of Higher Education.

SECTION 4. AMENDATORY 62 O.S. 2021, Section 34.36.1, is amended to read as follows:

Section 34.36.1. A. Each state agency that is required to provide an itemized budget request pursuant to the provisions of Section 34.36 of ~~Title 62 of the Oklahoma Statutes~~ this title shall provide to the Director of the Office of Management and Enterprise Services a ~~written~~ report, in a form approved by the Director, containing the following information:

1. The amount of federal funds received by the agency;
2. The source or sources of federal funds received by the agency;
3. A description of any action required to be taken by the agency as a condition for the receipt or continued receipt of federal funds; and
4. A description of any action prohibited to be taken by the agency as a condition for the receipt or continued receipt of federal funds.

B. The report shall be submitted with the budget information required by Section 34.36 of ~~Title 62 of the Oklahoma Statutes~~ this title by the date required by that section.

C. The Director of the Office of Management and Enterprise Services shall post the information contained in each agency's

report on the website created pursuant to Section 46 of ~~Title 62 of the Oklahoma Statutes~~ this title.

SECTION 5. AMENDATORY 62 O.S. 2021, Section 34.38, is amended to read as follows:

Section 34.38. ~~The budget shall be submitted to the Legislature and shall be in two parts:~~

~~1. A budget message:~~

- ~~a. outlining the fiscal policy of the state for the fiscal year and describing the important features of the budget,~~
- ~~b. giving a summary of the budget setting forth aggregate figures of proposed revenues and expenditures and the balanced relations between the proposed revenues and expenditures and the total expected income and other means of financing the budget compared with the corresponding figures for the preceding fiscal year,~~
- ~~c. including explanatory schedules classifying proposed expenditures by organization units, objects and funds,~~
- ~~d. giving estimated statements of assets and liabilities as of the close of the preceding fiscal year and of the budget year, and~~
- ~~e. explaining any proposed major increases in revenue from any existing source or any new source of revenue proposed, and~~
- ~~f. giving any further information or making any suggestions; and~~

~~2. The detailed budget estimates of revenues and expenditures for each fund as provided for in the Oklahoma State Finance Act showing the recommendations of the Governor on each, compared with the figures for the preceding fiscal year and giving an explanation of each major change in the recommendations from the revenues and expenditures in the previous fiscal year.~~

The budget shall be submitted to the Legislature containing the following:

1. An outline of the fiscal policy of the state for the fiscal year and a description of the important features of the budget;

2. A summary of the budget setting forth aggregate figures of proposed revenues and expenditures and the balanced relations between the proposed revenues and expenditures and the total expected income and other means of financing the budget compared with the corresponding figures for the preceding fiscal year, giving estimated statements of assets and liabilities as of the close of the preceding fiscal year, and giving any further information or making any suggestions;

3. A balanced budget presented by agency based on the revenue certified at the most recent Board of Equalization meeting, plus any additional revenues detailed in the proposed budget; and

4. The detailed budget estimates of revenues and expenditures showing the recommendations of the Governor on each, compared with the figures for the preceding fiscal year and giving an explanation of each major change in the recommendations from the revenues and expenditures in the previous fiscal year.

SECTION 6. AMENDATORY 62 O.S. 2021, Section 34.40, is amended to read as follows:

Section 34.40. A. When lump sum appropriations are made ~~for personal services, or for maintenance and operations, or for maintenance and operations including personal services,~~ no monies so appropriated shall be available for payments for such expenses until a schedule of positions and salaries and the amounts to be available for the expenses shall have been approved by the Director of the Office of Management and Enterprise Services and posted to the state accounting system. The provisions of this subsection shall not apply to such appropriations for the Legislature or judiciary, for expenses of holding elections, or for temporary services or day labor.

B. Any such approved schedule of positions and salaries may be amended with the approval of the Director of the Office of Management and Enterprise Services.

C. The request officer for each agency shall show the classification of the expenditures for their agency, and such classification shall follow the uniform budget and accounting

classifications adopted for similar spending agencies, except for items peculiar to certain departments or institutions.

D. The Director of the Office of Management and Enterprise Services shall not have authority to fix the amount of any agency salary or eliminate any position listed on such schedule. However, the Director shall not approve the schedule of positions and salaries when the total amount of funds requested to be allotted fails to reserve a sufficient balance to finance the operations of the agency for the remainder of that fiscal year, considering any possible failure in the revenue estimated to be collected for that fiscal year.

E. The Director of the Office of Management and Enterprise Services shall not have the authority to curtail the operation of any particular part of the program, but shall order a reduction in the total program only where insufficient revenues are anticipated to carry on the program for the period concerned.

SECTION 7. AMENDATORY 62 O.S. 2021, Section 34.42, as last amended by Section 3, Chapter 199, O.S.L. 2025 (62 O.S. Supp. 2025, Section 34.42), is amended to read as follows:

Section 34.42. A. On or before the first day of June in each year, or as soon thereafter as possible, all agencies shall file agency budgets with the Director of the Office of Management and Enterprise Services. Copies of all agency budgets shall also be made available electronically to the staff of the Joint Legislative Committee on Budget and Program Oversight.

B. The required instructions, content and format of agency budgets shall be developed by the staff of the Budget Division of the Office of Management and Enterprise Services.

C. 1. The agency budget shall include a description of all funds available to the agency for expenditure and set out allotments requested by the agency by ~~quarter and the entire~~ fiscal year.

2. The agency budget shall be accompanied by an organizational chart of the agency, a statement of agency mission and program objectives.

3. The agency budget shall delineate agency spending by such categories and with at least as much detail as is specified in the

legislative appropriation and as prescribed by the Director of the Office of Management and Enterprise Services.

4. Agency budgets shall be signed by the executive officer of each agency.

5. The executive officer shall certify that the agency is in complete compliance with the requirements of Section 34.11.3 of this title and Section 3-114 of Title 65 of the Oklahoma Statutes.

D. A "request officer" ~~shall~~ may be designated by each state agency for the purpose of making ~~program and~~ allotment requests.

E. Executive officers of agencies shall cooperate with the Office of Management and Enterprise Services staff and Joint Committee staff in developing program budgeting categories.

F. All funds available or expected to be made available to any agency, including nonfiscal appropriations, shall not be available for expenditure until the request officer of the agency has complied with the applicable provisions of the Oklahoma State Finance Act and has received approval of such request for funds from the Director of the Office of Management and Enterprise Services.

SECTION 8. AMENDATORY 62 O.S. 2021, Section 34.43, is amended to read as follows:

Section 34.43. A. All agencies of the state shall submit to the ~~Director~~ Chief Information Officer of the Office of Management and Enterprise Services in all agency their detailed information technology budgets, ~~in addition to other required information, whether such reports relate to past, present or future expenditures, an itemization of the amount attributable to each of the following expenses:~~

~~1. The number of persons, total amount of all salaries, the total amount of travel and subsistence expense and the total amount of personnel expense for:~~

~~a. data processing directors,~~

~~b. systems analysts,~~

~~c. programmers,~~

- ~~d. electronic data processing operators,~~
- ~~e. punch card machine operators,~~
- ~~f. data processing control personnel,~~
- ~~g. data processing clerical personnel, and~~
- ~~h. other data processing personnel;~~
- ~~2. Rental of data processing equipment;~~
- ~~3. Purchase of data processing equipment;~~
- ~~4. Maintenance of data processing equipment, if not included in rental expense;~~
- ~~5. Data processing supplies;~~
- ~~6. Data processing planning;~~
- ~~7. Data processing conversion from one system to another;~~
- ~~8. Rental and purchase of non-data processing equipment and supplies utilized in a data processing operation;~~
- ~~9. Shipment of data processing equipment;~~
- ~~10. Rental of communication lines for transmission of data processing information;~~
- ~~11. Data processing education;~~
- ~~12. Rental of software packages;~~
- ~~13. Contracting for development of systems; and~~
- ~~14. Other data processing expense for approval.~~

B. All disbursements made from treasury funds by any state agency for the above-named expenses shall be budgeted to and disbursed from a special allotment account to be created by the Director of the Office of Management and Enterprise Services.

C. This section shall not preclude agencies from programming and expending intra-agency data processing costs for cost allocation purposes.

SECTION 9. AMENDATORY 62 O.S. 2021, Section 34.49, is amended to read as follows:

Section 34.49. A. Appropriations and/or federal funds shall be allotted for each agency as provided by the language of the legislative appropriation and other applicable state law. ~~Items may be allotted on a monthly, quarterly, semiannual or annual basis upon the written request of the agency and the approval of the Director of the Office of Management and Enterprise Services.~~

B. The request officer for each agency shall present the proposed classification of the expenditures for that agency in such manner as may be required by the Office of Management and Enterprise Services.

~~C. Each agency shall be required to identify those items that are for capital purposes in keeping with the definition of capital projects promulgated by the Long-Range Capital Planning Commission. Requests for capital appropriations and an agency's original budget request shall be for capital projects that have been submitted to the Long-Range Capital Planning Commission for review.~~

~~D.~~ The Director of the Office of Management and Enterprise Services shall review the requested allotments with respect to the agency budget with each agency. The Director may require the agency to change such allotments before approving them, if it is deemed necessary, reserving a sufficient balance in the appropriation to finance the operations of the agency for the remainder of any fiscal year.

~~E.~~ D. At the end of any fiscal year, the entire amount appropriated to any agency must be allotted to the agency by the Director of the Office of Management and Enterprise Services, except where the estimated budget resources during any fiscal year are insufficient to pay all of the appropriations of the state in full for such year. The Director of the Office of Management and Enterprise Services shall not allot to any agency during any fiscal year, an amount which will be in excess of the amount of revenue collected and allocated to appropriations made to such agency.

~~F.~~ E. In the event of a failure of revenue, the Director of the Office of Management and Enterprise Services shall control the allotment to prevent obligations being incurred in excess of the revenue to be collected. However, within each state fund where a revenue failure occurs, the Director of the Office of Management and Enterprise Services shall make all reductions apply to each state agency or special appropriation made by the State Legislature, in the ratio that its total appropriation for that fiscal year bears to the total of all appropriations for that fiscal year, as provided in Section 23 of Article X of the Oklahoma Constitution.

~~G.~~ F. An allotment may be approved for any item for the entire year ~~or may be approved on a monthly, quarterly, or semiannual basis~~, but in no case shall the aggregate of such allotments for any agency exceed the total appropriation made available to such agency for the fiscal year to which they apply. Each agency's request for appropriation allotments shall show the amount required to finance each item of the request for the entire ~~year and on a quarterly basis within each~~ fiscal year.

~~H.~~ G. The Director of the Office of Management and Enterprise Services shall review each allotment request for the purpose of determining whether:

1. The itemized requests are ~~in accordance with~~ not in excess of the agency budget;

2. The accounting classification is sufficient to reflect the purposes for which the expenditures are to be made;

3. The current financial requirements of the agency justify the ~~monthly or quarterly~~ allotment, reserving a sufficient balance to finance the ~~remaining months or quarters~~ remainder of the budget year; and

4. The realization of the estimated revenues is sufficient to allow the allotments to be made.

~~I.~~ H. The Legislature shall be exempt from submitting any agency budget or allotment request.

SECTION 10. AMENDATORY 62 O.S. 2021, Section 34.52, is amended to read as follows:

Section 34.52. A. The administrative head of any agency or the request officer may request that any current item of appropriation, ~~allotment, or budget category~~ be transferred to any other budget category within the same agency.

B. The administrative head shall make a request for budget transfer to the Director of the Office of Management and Enterprise Services in writing and file a revised agency budget.

C. Copies of the request for budget transfer and corresponding agency budget revisions shall also be filed with the ~~Joint Legislative Committee on Budget and Program Oversight as created by Section 34.96 of this title~~ chairs of the committees in each body of the Legislature overseeing appropriations and the directors of the divisions in each body of the Legislature assigned oversight of state budget performance.

D. The Director of the Office of Management and Enterprise Services shall approve the request for transfer unless both the Chair and Vice Chair of the Joint Legislative Committee on Budget and Program Oversight provide written notification to the Director of the Office of Management and Enterprise Services within twelve (12) calendar days of receipt of transfer request that the transfer subverts the intention and objectives of the Legislature in establishing the original appropriation, or unless the transfer does not meet the requirements of this section or Section 34.49 of this title. Notification of noncompliance with legislative intent shall be transmitted to the Director of the Office of Management and Enterprise Services within twelve (12) calendar days of receipt of the transfer request. The Director of the Office of Management and Enterprise Services shall give written notice of approval or disapproval of each budget transfer to the agency, ~~the Governor and the Chair and Vice Chair of the Joint Legislative Committee on Budget and Program Oversight~~ chairs of the committees in each body of the Legislature overseeing appropriations and the directors of the divisions in each body of the Legislature assigned oversight of state budget performance within eighteen (18) calendar days of receiving the request.

E. Transfers shall be subject to the following limitations:

1. The amount to be transferred, together with all previous transfers, shall not exceed twenty-five percent (25%) of the total appropriation of the least of the items of appropriation, ~~allotment or agency budget~~ involved in the transfer; and

2. If the amount to be transferred, and all previous transfers, is greater than twenty-five percent (25%) of the least items of appropriation, ~~allotment or agency budget~~ involved in the transfer request, the agency may make an application to the Director of the Office of Management and Enterprise Services, ~~and the Chair and Vice Chair of the Joint Legislative Committee on Budget and Program Oversight~~ chairs of the committees in each body of the Legislature overseeing appropriations, and the directors of the divisions in each body of the Legislature assigned oversight of state budget performance. If the agency obtains written approval from the ~~Director of the Office of Management and Enterprise Services and the Chair and Vice Chair of the Joint Legislative Committee Budget and Program Oversight,~~ an additional fifteen percent (15%) may be transferred chairs of the committees in each body of the Legislature overseeing appropriations, the Director of the Office of Management and Enterprise Services shall approve the request for transfer.

SECTION 11. AMENDATORY 62 O.S. 2021, Section 34.56, is amended to read as follows:

Section 34.56. A. There is hereby re-created, to continue until July 1, 2008, in accordance with the provisions of the Oklahoma Sunset Law, a Special Agency Account Board, to consist of the Director of the Office of Management and Enterprise Services, the State Treasurer and the Director of the Legislative Service Bureau. The Board shall have the authority to approve the establishment of agency special accounts in the official depository of the State Treasury. In the case of institutions of higher education, the Special Agency Account Board, acting in conjunction with the Oklahoma State Regents for Higher Education, shall establish special agency accounts as appropriate which shall be consistent with provisions of the Oklahoma State Finance Act, as it relates to institutions in The Oklahoma State System of Higher Education. Following the sunset of the Special Agency Account Board, all authority vested in the Board shall transfer to the Director of the Office of Management and Enterprise Services.

B. The Board, created by this section, shall adopt procedures including application forms, justification and other pertinent information as to the basis for a state agency application for the establishment of agency special accounts.

C. The Board may approve agency special accounts for money received by state agencies for the following purposes:

1. Benefit programs for individuals, including, but not limited to, unemployment compensation, workers' compensation and state retirement programs;

2. Revenues produced by activities or facilities ancillary to the operation of a state agency which receive no money, directly or indirectly, from or through that state agency, including, but not limited to, revenues from the sales of food at retail level, sales at canteens, sales at student unions, sales at student bookstores, receipts from athletic programs and receipts from housing. Provided, however, that a state institution of higher learning may purchase necessary equipment and instructional supplies and office supplies from a student bookstore, or, subject to authorization by the Oklahoma State Regents for Higher Education, may rent building space for institutional use in a building operated by an organization or entity whose existence is ancillary to the operation of a state agency, and whose cost was financed in whole or in part with revenue-type bonds; provided, further, that the cost of such office supplies or space rental shall not exceed the cost of similar supplies or rentals available commercially;

3. Gifts, devises and bequests with an agency as beneficiary, unless otherwise provided by statute;

4. Evidence funds for law enforcement agencies;

5. Student loan funds and scholarship funds;

6. Funds held in escrow;

7. Land Commission funds;

8. Funds for which the state agency acts as custodian, including, but not limited to, fees from employee earnings approved by the governing board of the agency, funds of student organizations including student activity fees collected by an educational institution as a separate item in enrollment procedures, professional organizations, patients and inmates;

9. Funds used by the Oklahoma Tax Commission to pay for the filing of liens with the Federal Aviation Administration;

10. Temporary accounts for funds arising from new or amended legislation not otherwise provided for in statute or for other

emergency situations. Such accounts are to be utilized only pending legislative action directing custody of such funds;

11. Payment of liability claims against the state;

12. Activities of the various Armory Boards of the Oklahoma Military Department to receive and dispense funds derived by the Armory Boards pursuant to Sections 232.6 and 232.7 of Title 44 of the Oklahoma Statutes; and

13. Payment of expenses incurred in connection with the acceptance of payments made with nationally recognized credit cards.

D. The State Treasurer is authorized to accept deposit of money made directly to agency special accounts approved by the Board. All money received by a state agency, as described in Section 34.57 of this title, shall be deposited in State Treasury funds or accounts and no money shall be deposited in banks or other depositories unless the bank accounts are maintained by the State Treasurer or are for the deposit of authorized petty cash funds.

E. Money deposited in agency special accounts shall be disbursed on vouchers issued by the state agency concerned to accomplish the purpose for which the money was intended.

F. Funds and revenues of the Grand River Dam Authority are exempt from the requirements of this section.

G. Funds and revenues of the Oklahoma Municipal Power Authority are exempt from the requirements of this section.

H. Monies used for investment purposes by the Oklahoma Firefighters Pension and Retirement System, the Oklahoma Police Pension and Retirement System, the Uniform Retirement System for Justices and Judges, the Oklahoma Law Enforcement Retirement System, the Oklahoma Public Employees Retirement System, the Teachers' Retirement System of Oklahoma, the State Insurance Fund, the Oklahoma Employees Insurance and Benefits Board, the Commissioners of the Land Office, and the Oklahoma State Regents for Higher Education for its Endowment Trust Fund are exempt from the requirements of this section, and shall be placed with the respective custodian bank or trust company.

SECTION 12. AMENDATORY 62 O.S. 2021, Section 34.80, is amended to read as follows:

Section 34.80. A. All warrants, checks or orders issued by the State Treasurer against claims submitted through the Office of Management and Enterprise Services in payment of obligations of the state which shall for any cause remain outstanding or unpaid for a period of ninety (90) days after funds are available for their payment shall be revoked and canceled.

B. Such warrants, checks or orders shall be entered into the records of the Office of Management and Enterprise Services and the State Treasurer and the administrative head of the agency certifying the claim for payment shall be notified that such items have been canceled.

C. If, for any reason, a warrant should not be issued to replace a warrant canceled pursuant to the provisions of this section, the administrative head of the agency originally certifying the claim for payment shall, within seven (7) days after notification of the cancellation, advise the Director of the Office of Management and Enterprise Services that a reissue should not be made.

D. Notwithstanding the provisions of subsection B of this section, warrants issued or caused to be issued by the Department of Human Services for public assistance or medical assistance may be reissued at any time within three (3) years after cancellation upon submission of the canceled warrants to the Department.

E. No canceled warrants shall be paid, except that the holder of any warrant that may have been canceled pursuant to the provisions of this section may, within thirty-six (36) months following the month in which the warrant was canceled, present the warrant or an affidavit of loss or destruction and a request for reissuance to the Director of the Office of Management and Enterprise Services.

F. The Director of the Office of Management and Enterprise Services shall certify a claim as needed for payment of those verified unpaid requests presented, unless the certifying agency has advised that a reissuance should not be made.

G. 1. There is hereby created in the State Treasury a fund to be known as the Canceled Warrant Fund.

2. The Director of the Office of Management and Enterprise Services shall transfer to the Canceled Warrant Fund the total of the payable amounts of the warrants canceled pursuant to the provisions of this section from the funds and accounts against which the canceled warrants had been drawn.

3. The Office of Management and Enterprise Services shall disburse from the fund such amounts as necessary to pay warrants reissued as provided in this section.

4. These expenditures shall remain recorded in the funds and accounts against which the original canceled warrants were issued and they shall not be considered expenses of the state nor shall receipts to the fund be considered revenue to the state.

5. Any such claim drawn against the Canceled Warrant Fund shall identify the current holder of record and the warrant number of the canceled warrant, which shall be provided on the warrant record.

H. The Director of the Office of Management and Enterprise Services shall determine the minimum necessary balance to be maintained in the Canceled Warrant Fund and on the third Monday of October shall transfer the amount in excess of the required minimum balance to the General Revenue Fund of the current year. The minimum balance retained shall be not less than the total amount of the warrants canceled by statute within the past thirty-six (36) months preceding October 1 of each year and which remain eligible for replacement according to the records of the Office of Management and Enterprise Services. Provided, funds in the Canceled Warrant Fund due to the cancellation of warrants from federal funds or the Crime Victims Compensation Fund shall be transferred to the Crime Victims Compensation Fund their originating fund upon cancellation and not to the General Revenue Fund.

SECTION 13. AMENDATORY 62 O.S. 2021, Section 34.95, is amended to read as follows:

Section 34.95. A. The Appropriations and Budget Committee of the Oklahoma House of Representatives and the Appropriations Committee of the State Senate shall:

1. Utilize information collected by the Office of Management and Enterprise Services pursuant to Section 34.36 of this title and ~~any reports issued by the Legislative Oversight Committee on State Budget Performance~~ information provided directly from an agency to

evaluate management programs, operations and fiscal needs of state agencies, boards, commissions, departments, divisions, offices, bureaus, institutions and other spending agencies, including those created or established pursuant to constitutional provisions; and

2. File an evaluation report no later than March 1 of each fiscal year with the Chief Clerk of the Oklahoma House of Representatives and the Clerk of the State Senate which shall include, but not be limited to, the following information:

- a. a review of the agency's programs, performance and management,
- b. whether the agency has demonstrated a public need for the services and programs justifying the agency's continued existence, and
- c. whether the agency is the most appropriate provider of the programs and services furnished by the agency.

B. The Appropriations and Budget Committee of the Oklahoma House of Representatives and the Appropriations Committee of the State Senate shall utilize information contained in the evaluation report in determining final appropriations for state agencies and in any future adjustments in funding levels.

C. No action shall be taken on a measure making an appropriation unless the evaluation report described by paragraph 2 of subsection A of this section with respect to the entity to which the appropriation is made has first been filed with the applicable clerk.

D. Each subcommittee of the Appropriations Committee of the Oklahoma State Senate and the Appropriations and Budget Committee of the Oklahoma House of Representatives shall establish budget performance measurements for each spending agency under its jurisdiction. The performance measurements shall be developed in order to allow the Legislature and the Governor to obtain measureable data to determine if the agency is performing its duties in the most cost-effective manner possible.

Each spending agency, whether or not it receives state appropriations, shall submit analysis reports as required by the subcommittee in order to enable the subcommittee to make a

determination as to whether the agency has met the established performance measurements.

Such requirements may be established for the forthcoming fiscal year and for such additional fiscal years in the future as the subcommittees deem appropriate.

SECTION 14. AMENDATORY Section 1, Chapter 346, O.S.L. 2025 (62 O.S. Supp. 2025, Section 34.401), is amended to read as follows:

Section 34.401. In addition to other duties imposed upon the Office of Management and Enterprise Services (OMES) by law, for fiscal years 2026, 2027, and 2028 the Director of the Office of Management and Enterprise Services shall ensure that the following procedures are strictly adhered to with respect to the Oklahoma Department of Mental Health and Substance Abuse Services:

1. In accordance with paragraph 3 of subsection A of Section 34.6 of this title, prior to releasing the one-twelfth (1/12) appropriations disbursement, OMES shall conduct a review of the agency's budget to actuals to ensure the agency is staying within budget constraints;

2. OMES shall provide a report to the Governor, the Speaker of the Oklahoma House of Representatives, the President Pro Tempore of the Oklahoma State Senate, and the chairs and vice-chairs of the standing committees of the Oklahoma House of Representatives and the Oklahoma State Senate having primary responsibility for the consideration of agency appropriations concerning the status of revenue and expenditures of the agency;

3. The Oklahoma Department of Mental Health and Substance Abuse Services shall be prohibited from entering into contracts that do not clearly state a maximum fiscal obligation;

4. OMES shall review encumbrances for any multi-year purchase orders or contracts to ensure that only the anticipated amount of funds for the current fiscal year are encumbered; and

5. OMES shall prohibit the processing of payments for non-budgeted expenditures.

SECTION 15. AMENDATORY 62 O.S. 2021, Section 45.5, is amended to read as follows:

Section 45.5. ~~A. The Office of Management and Enterprise Services and the Joint Legislative Committee on Budget and Program Oversight~~ divisions in each body of the Legislature assigned oversight of state budget performance shall, as needed, work with each state agency to determine acceptable measures of output, outcome, unit cost, and cost-effectiveness for use in the agency's plan.

~~B. The Office of Management and Enterprise Services is, and are~~ authorized to provide corresponding training or other services to state agencies pursuant to this act.

SECTION 16. AMENDATORY 62 O.S. 2021, Section 45.10, is amended to read as follows:

Section 45.10. A. Pursuant to this act, the Director of the Office of State Finance shall develop processes and procedures to guide state agencies in preparation of performance reporting metrics to be published for each cabinet, state agency and statewide and agency-specific initiatives. These metrics shall account for input, output and outcome measures and provide benchmarks to which the performance measures can be compared for evaluation of performance. ~~Metrics shall include not less than three consistent scales demonstrating that a performance expectation or benchmark has been achieved, partially achieved or not achieved. At least one metric shall demonstrate the cost per person served by the agency.~~

B. State agencies shall provide information as required by the Director to assist in the development of performance reporting metrics and benchmarks.

C. Cabinet secretaries and agencies shall provide appropriate benchmarks against which performance should be compared to determine the agencies' success or failure to meet established performance reporting benchmarks.

D. Performance metrics showing agency and agency program-level performance shall be published and prominently featured on the state Internet portal and through the direct domain performance.ok.gov. This data shall be updated on a regular basis.

E. Performance metrics and standards shall be reviewed and approved annually.

F. For the purposes of this section, "performance reporting metrics" shall mean a set of criteria which demonstrates the quantity and quality of work.

SECTION 17. This act shall become effective September 1, 2026.

Passed the House of Representatives the 11th day of March, 2026.

Presiding Officer of the House
of Representatives

Passed the Senate the 29th day of April, 2026.

Presiding Officer of the Senate

OFFICE OF THE GOVERNOR

Received by the Office of the Governor this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____

Approved by the Governor of the State of Oklahoma this _____
day of _____, 20_____, at _____ o'clock _____ M.

Governor of the State of Oklahoma

OFFICE OF THE SECRETARY OF STATE

Received by the Office of the Secretary of State this _____
day of _____, 20_____, at _____ o'clock _____ M.
By: _____